

DEDUCTIONS

According to income tax rules, we are allowed to invest up to a certain amount which will be deducted from our earnings to avoid income tax. In deductions, however, the amount can only be deducted if we invest in certain kinds of assets or we spend the money in a certain manner. For example, education fees, insurance expenses, grants etc. are deductible from our income. That means if we pay Rs. 26,000 in a year on child's education fees and our income is Rs. 5,60,000, then we can claim a Rs. 26,000 deduction and reduce our taxable income to Rs. 5,34,000.

Similarly, we can also invest in certain assets and get that amount deducted from the overall taxable income. Remember, lower the taxable income, lower is the tax liability. Here, the government is only concerned about the way we spend the money, the way we earn it is not relevant. Also, the deductions come with a fixed limit, generally about the maximum deduction of a particular type that we can claim.



Education fees is
tax-deductible up to
a certain limit